

PAGERO



Country Compliance Report:

Italy

Information class: Restricted



Country Compliance Report: Italy

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

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1. Terminology

This section outlines general and country-specific terminology for Italy, which will be used throughout the whole document.

Term	Explanation
AdE	Revenue Agency of Italy (it., Agenzia delle Entrate)
AGID	Agency for Digital Italy (it., Agenzia per l'Italia Digitale), which as well acts as Peppol Authority for Italy
MEF	Ministry of Economy and Finance of Italy (it. Ministero dell'Economia e delle Finanze)
IdT	It., Identificativo della transazione (Transaction Identifier) is a unique identifier given by NSO to each document
NSO	It., Nodo Smistamento Ordini di acquisto (Purchase Orders Routing Node), the system made available by MEF which is used to validate messages received from the transmitters and, in general, to forward them to the recipients. NSO uses the infrastructure of the Sistema di interscambio (SDI)
PEC	Certified email (it., Posta Elettronica Certificata) is a special type of email in use in Italy and some other countries. Certified email is meant to provide a legal equivalent of the traditional registered mail
SDI	It., Sistema di Interscambio, the system for issuance, transmission and reception of electronic invoices
Sogei	State owned IT company developing and maintaining the governmental e-invoicing platform SDI and e-ordering platform NSO
SSN	The National Healthcare System of Italy



2. General overview

This section provides an initial introduction into the local eInvoicing environment within Italy, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• AdE • AGID • MEF (main administration for NSO)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Coordinated text DDMM 1 December 2018 and 27 December 2019 • Decree of the Ministry of Economy and Finance of 27 December 2019 • Decree of the Minister of Economy and Finance of 7 December 2018 • Budget Law 2018 paragraphs 411-415 • Technical specifications published by MEF • Technical specifications published by AGID • Technical specifications published by OpenPeppol
	• Buyers will not be allowed to pay e-invoices issued without an underlying e-order exchanged via, and approved by, NSO.



3. E-order status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-ordering status	• Mandatory for all SSN connected entities
CTC model	• Centralised exchange model
e-order definition¹	• In order to be valid, an e-order must be issued according to the latest Peppol BIS IT Extension specifications and cleared by NSO
Scope of taxpayers the e-document mandate applies to	• Buyers: all entities (companies and hospitals) connected to SSN, irrespective of whether they are public or private • Suppliers: all suppliers to buyers outlined above, ◦ irrespective of whether the purchases are part of a procurement contract or not, ◦ irrespective of whether the supply directly (e.g. medical equipment, pharmaceuticals) or indirectly (e.g. computers, furniture, food) relates to healthcare, and irrespective of whether the supplier is an Italian or a foreign company
Implementation / roll-out plan	• Gradual roll-out: ◦ February 2020: Mandatory sending and reception of regular / simple e-orders for goods ◦ January 2021: Mandatory sending and reception of regular / simple e-orders for services

¹ Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

- Upon implementation of the e-ordering mandate in the healthcare sector, the following is expected:
 - Extension to pre-agreed order and order response
 - Extension to despatch advises
 - Extension to the rest of the public sector



4. Before switching to e-ordering

4.1. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	- Depending on how the entities will interact with NSO, they are required to obtain either NSO ID (for those connected directly) or Peppol ID (for those connected via the Peppol Network) - Passing the technical conformance requirements (either the entity directly or its service provider / intermediary) either under the SDI e-invoicing schema or the Peppol Network schema - Obtaining Codice Destinatario, unless already available from SDI certification process - Signing the exchange agreement with NSO, unless there is already an agreement in place with SDI, in which case the same can be reused
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	The parties should inform each other of the ID they will be using for the exchange of the e-orders
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	No explicit regulations

4.2. Outsourcing sending and reception function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of e-order issuance and creation is allowed or not	Allowed
Whether statement of outsourced issuance is required on the invoice	No specific requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	No specific requirements, however, strongly recommended
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	No specific requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	No specific requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	- Passing the technical conformance requirements either under the SDI e-invoicing schema or the Peppol Network schema - Obtaining Codice Destinatario, unless already available from SDI certification process - Signing the exchange agreement with NSO, unless there is already an agreement in place with SDI, in which case the same can be reused



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• Peppol BIS IT Extension
Other document format(s) commonly used for exchange between trading parties	• No information is currently available
Mandated platform(s) required to have connection with for e-document processing	• NSO
Other platform(s) relevant for e-document processing	• No information is currently available
Schematron(s), XSD schema or other official mechanisms ensuring document content	• NSO schematron
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• Codice Destinatario for transmitter and receiver identification, incl. intermediary • For those exchanging via NSO: NSO ID (ultimate sender and recipient) • For those exchanging via Peppol: Peppol ID (ultimate sender and recipient)
Other technical aspects	• No information is currently available

5.2. Communication with NSO

Regulations in Italy foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	- SFTP and WS for exchange via NSO or - AS4 for exchange via Peppol Network
Semi-automated	PEC for exchange via NSO
Manual	- NSO web portal - Webportal of accredited intermediary
Other options	No information is currently available



5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic e-orders

This section describes the process for documents created to be transmitted within the given country

- 1) **The sender** must generate an electronic file following Peppol BIS IT Extension specifications and submit it to NSO for mandatory clearance
- 2) **NSO**, once the e-order has been submitted, will perform validations, described under section 5.5.
 - a. No explicit response SLA has been communicated.
- 3) **NSO** will:
 - a. Upon a **successful validation**, return a positive Clearance Response together with a unique Transaction ID to the sender.
 - b. Upon an **unsuccessful validation**, return a negative Clearance Response to the sender with rejection code notifying the reason for not passing the validations.
- 4) Depending on which exchange scenario the transmitter sets, then:

- a. **Transmission scenario.** NSO will distribute the cleared e-order to the recipient.
 - i. The NSO knows which distribution channel to use based on the recipient's ID provided by the sender in the message to NSO: either NSO ID (for direct exchange) or Peppol ID (the exchange via Peppol Network).
 - ii. NSO will as well return to the transmitter a notification informing about the delivery status
- b. **Validation scenario.** The transmitter will distribute the cleared e-order to the receiver.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Technically, the same requirements, as for domestic e-orders, apply if the sender is an entity not established in Italy. However, for simple e-orders, such scenario is not realistic, as simple e-orders are required to be issued by the SNN connected purchasing entity in Italy.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

The recipient of e-orders is required to be connected to NSO either directly or via Peppol Network in order to receive documents. The section 5.2 above outlines methods, how the recipient can connect with NSO.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

The same requirements, as for domestic e-orders, apply if the recipient is an entity not established in Italy.

5.5. AoR (response) process

According to the technical specifications, the recipient of e-order may issue an order response to the sender of an e-order. Issuance of an order response follows the same process as issuance of an e-order.

In practice, as this is an optional and not mandatory feature, it is not commonly used by the entities connected to the SSN.

5.6. NSO validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

For each message received, NSO performs a series of validations. If these checks are not validated, the sender gets a rejection notice.

The types of checks performed are aimed at verifying:

- the naming and uniqueness of the message,
- the size of the message,
- the integrity and compliance of the message format,
- the coherence and validity of the message content,
- the uniqueness of the document.

Furthermore, NSO verifies that there is no other validated document with the same Identification Triplet, see section 6.2 further, which explains the meaning and impact of the Identification Triplet.

Each successfully validated transaction is assigned Transaction ID (IdT).

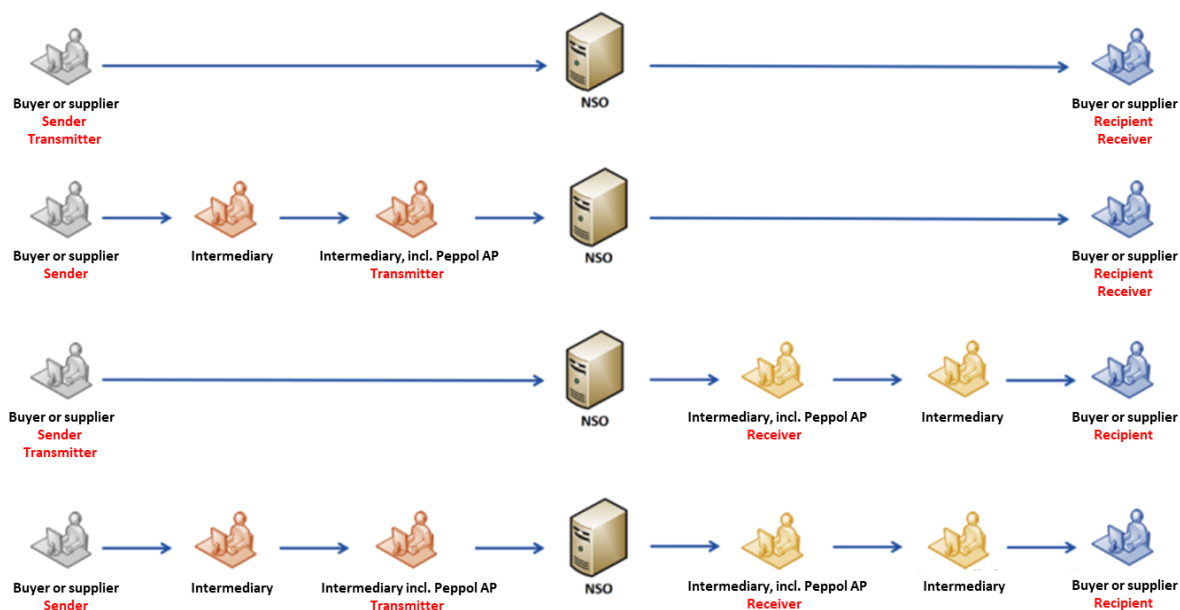
5.7. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

According to the technical specifications, MEF foresees two scenarios:

- **Transmission scenario.** Under this scenario, NSO both clears and exchanges the documents.
- **Validation scenario.** Under this scenario, NSO only clears the document and allows the transmitter to exchange the document with the receiver post-clearance.

From practical perspective, most entities under SNN use the Transmission scenario.



5.8. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

A revocation or replacement order may be issued in order to rectify a faulty order. However, currently, this is not very common in Italy.

5.9. Contingency mode

This refers to the scenario if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There has been no published information relating to scenarios where the NSO is not accessible or temporarily down. Nor has there been published any contingency process for the situation where the taxpayer is not able to issue e-orders in due time due to technical difficulties.



6. Document content requirements

6.1. Document types

Item	Commentary
Mandatory document profiles	• Order (mandatory) ○ Initial order ○ Revocation order ○ Replacement order ○ Match order ▪ Match order for confirmation ▪ Match order for denial ▪ Replacement match order ○ Linked order ○ Validation order • Pre-agreed Order or Order Agreement (optional) ○ Initial pre-agreed order ○ Pre-agreed revocation order ○ Pre-agreed replacement order ○ Pre-agreed order linked ○ Pre-agreed validation order • Order Response (optional) ○ Reception response ○ Acceptance response ○ Denial response ○ Response with changes

6.2. Mandatory e-order content

This section outlines, beside the requirement to follow the established technical specifications, which data elements are especially important to ensure, so that the trading parties do not incur additional consequences due to incorrect e-ordering process.

Identification Triplet

Starting from 1 January 2021 for goods orders and from 1 January 2022 for services order must Contain Identification Triplet (it., *tripletta di identificazione*), which comprise of the following elements:

- **ID:** the order ID – the identification document that is associated by the issuer,
- **IssueDate:** the date on the document,
- **EndpointID:** the identification of the party that is issuing the order.

SSN organisations will be unable to process settlement and subsequent payment of invoices without these values.

Impact on e-invoice content

The reference to each document representing a purchase order (simple order, pre-agreed order or change order) shall be entered in FatturaPA e-invoice addressed to the public administration as described below:

- 1) <IdDocumento> of the FatturaPA scheme shall contain the Document Identifier that the invoice refers to,
- 2) <Data> of the FatturaPA scheme shall contain the Document issue date,
- 3) <CodiceCommessaConvenzione> of the FatturaPA scheme shall contain the Document issuer identifier preceded and followed by the character "#".

If this data is not provided in the FatturaPA e-invoice, the public buyer is not allowed to pay the supplier under such e-invoice.



7. Integrity and Authenticity

E-signature is neither required nor technically not possible on Peppol BIS. It is, however, strongly advised to ensure a reliable audit trail based on business controls².

² An example of such business controls could be:

- an ERP which integrates all developments of the company, i.e. supplies, purchases, management of the storage, accountancy; this system must guarantee the cross-references between the documents produced during these processes,
- a Ledger related to all changes made on the documents during these processes,
- a Ledger related to all changes made on data business, which refer to the invoicing,
- a Ledger related to all activities made by ERP, for example the matching between the purchase order and the invoice.



8. Document retention

Please refer to the Italy CCR (SDI) for information on archiving requirements.



9. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

The below is presented from the supplier perspective.

9.1. E-order reception with Pagero

Pagero supports the most commonly communication method used by the suppliers to receive e-order: connectivity via Peppol. The below flow-chart illustrates the workflow.



9.2. Pre-agreed order and order response issuance with Pagero

Currently not supported, as this is not yet actively requested by the market.



10. Closing statements

10.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

10.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
27-05-2021	Document created
18-10-2021	Amended flowchart section 9